

Performance appraisal (Ch#)

Definition:

Performance appraisal is a regular review of an employee's job performance and contribution to a company.

Companies use performance appraisals to determine which employees have contributed the most to the company's growth, review progress and reward high-achieving workers.

Performance appraisal means evaluating an employee's current and past performance relative to his or her performance standard.

Features:

- => Evaluating performance => Futuristic
- => Organized performance => Develop employee
- => Periodic process => Identify employee potentialities

Purpose:

=> The major reason why an organization conduct performance evaluation:

- 1) Communicating
- 2) decision making
- 3) Motivating

Communications

⇒ The major reason is to provide an opportunity for formal communication between management and employees concerning how the organization believes each employee is performing.

Decision making

⇒ The second objective is to allow the management to make decisions about employees within the organization.

Motivating/Developing

⇒ The third objective is to provide motivation to our employees to improve the way they work individually for developmental purposes, which improve the organizational productivity overall.

⇒ Motivation can be defined as the willingness to achieve organizational objectives.

Uses of performance appraisal:

⇒ Help in deciding promotion

⇒ Help in personnel actions

⇒ Help in training & development

⇒ Help in self evaluation

What do we Assess?

we have to decide what aspects of the individuals and their performance are going to measure.

Traits appraisals:

Traits identify the physical or psychological characteristics of a person.

Here we answer these questions:

- Can we accurately measure traits that affect job performance?

- Can trait measures pass the OUCH test?

- Are traits commonly used to measure performance?

- Should we assess/measure traits?

Behavioral Appraisals:

⇒ Behaviors are simply the actions taken by individuals.

⇒ it answers the questions:

- Can we accurately measure behaviors that affect job performance?

- What individuals do at work?

- Should we measure behaviors?

* Results/Outcomes Appraisals:-

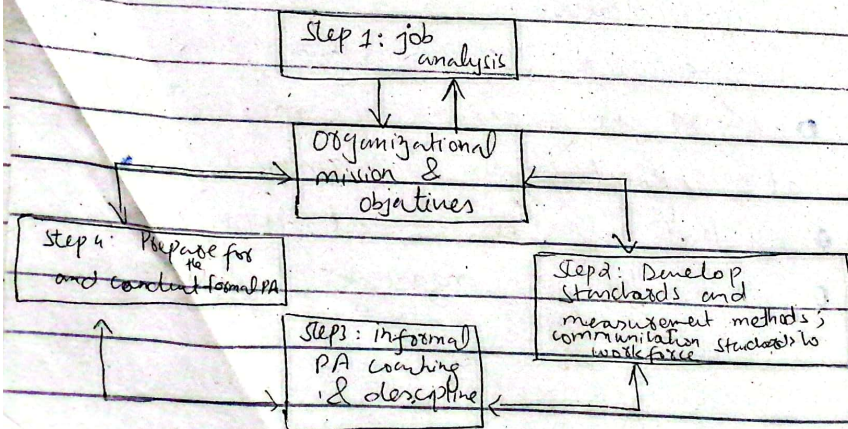
⇒ Results: are simply a measure of the goals achieved through a work process.

- Can we accurately measure results that affect job performance?
- Can results pass the OUCH test?
- Should we measure results?

* Who Should Assess Performance?

- 1) Supervisor
- 2) Peers
- 3) Subordinates
- 4) Self
- 5) Customers

* Performance Appraisal Process



* Accurate Performance Measures:-

⇒ Performance should be accurately measured so employees will know where they can improve.

⇒ Knowing where to improve should lead to training employees to develop new skills.

⇒ To be accurate measure of performance, our measure must be: valid

- Valid & reliable
- Acceptable & feasible
- Specific
- Based on the mission & objectives

* Parts of effective performance appraisal process

⇒ An effective performance appraisal process has two parts.

- Evaluating
 - is about assessing past performance
- Motivating
 - Developing employees to improve their future performance.

Performance appraisal problems

⇒ During the performance appraisal process, these are common problems that we face.

⇒ However, by knowing these common problems, we can take measures to avoid them.

i) Bias:

⇒ is simply a personality-based tendency, either towards or against something.

⇒ Bias in PA is towards or against an individual employee.

⇒ Bias makes the evaluation process subjective rather than objective.

ii) Stereotyping:

⇒ is mentally classifying a person into an affinity group, and then identifying the person as having the same assumed characteristics as the group.

iii) Halo error:

⇒ This error occurs when the evaluator has a generally positive or negative impression of an individual.

iv) Distributional errors:

⇒ These errors occur in three forms:

○ Severity strictness ○ leniency ○ central tendency

v) Similarity error:

⇒ Occurs when raters evaluate subordinates that they consider more similar to themselves as better employees, and subordinates that they consider different from themselves as poorer employees.

vi) Proximity error:

⇒ States that similar marks may be given to items that are near each other on the performance appraisal form, regardless of differences in performance on those measures.

vii) Recency error:

⇒ Occurs when raters use only the last few weeks or month of a rating period as evidence of their rating of others.

viii) Contrast error:

⇒ The rater compares and contrasts performance between two employees, rather than using absolute measures of performance to measure each employee.

ix) Attribution error:

⇒ Attribution is a process where an individual assigns reasons for an observed behavior.

=> So, attribution errors occur when a rater observes an employee action.

Avoiding Problems

1) Develop accurate performance measures:-

- 1) Use multiple Criteria
- 2) Minimize the use of trait-based evaluations.
- 3) Give the measures of OUCH and Blanchard tests

2) Train evaluators:

- 1) Train evaluators to overcome the common problems of assessment.
- 2) Train evaluators to use the measurement methods & forms.

3) Use multiple Raters:

What is debriefing Appraisal?

=> The Debriefing process is where we communicate the analysis of each individual's performance with that person.

Discuss difference between Performance Management & Performance Appraisal.

Performance Mgmt | Performance Appraisal

Definitions

o is the process of identifying, measuring, managing and developing the performance of the human resources in an organization.

o is the on going process of evaluating employee performance. So, appraisal is just a piece of performance management.

Who runs it?

o Collaborative dialog process

o Top-down approach run by HR

Growth VS evaluation

o Targets the growth & productivity of employees.

o Involves evaluating employees.

Proactive VS Reactive

o Finds ways to engage employees.

o Identifies employee weaknesses.

Past VS future

o Focuses on present & future

o focuses on the past by using historical data.

6) Ongoing vs infrequent

○ Continuous & Ongoing

○ Typically occurring once or twice per year.

7) Qualitative vs

Quantitative:

○ Uses judgment & metrics to form views

○ Evaluates based on scores & rating scales.

8) Holistic vs

Operational

○ Considers the relationship b/w employees & organization

○ Operational & follows performance procedures.

9) Strategic vs individualistic

○ Considers organizational goals & company growth objectives.

○ Considers employees & their past performance.

10) Flexible vs Rigid:

○ Flexible approach & adapts to changing needs

○ Adheres to the rules of the evaluation system

11) Organizational metrics

vs Employee KPIs:

○ Tracks overall employee productivity

○ Focus on individual employees.

Methods of PA

Traditional methods

- Ranking method
- Paired Comparison
- Grading method
- Forced distribution
- Checklist method
- Critical incidents
- Graphic scale
- Essay method
- Field review

Modern methods

- MBO
- Behaviorally Anchored
- Assessment centers
- 360-degree
- Cost accounting

Importance of PA:

- ⇒ most significant tool for organization
- ⇒ Highly useful for making decision
- ⇒ Definite aid to management in promoting future.

Why Appraise Performance?

⇒ Promotion and retention decision of employee

⇒ For correcting deficiencies

⇒ Control side in performance management.

⇒ Facilitate career planning

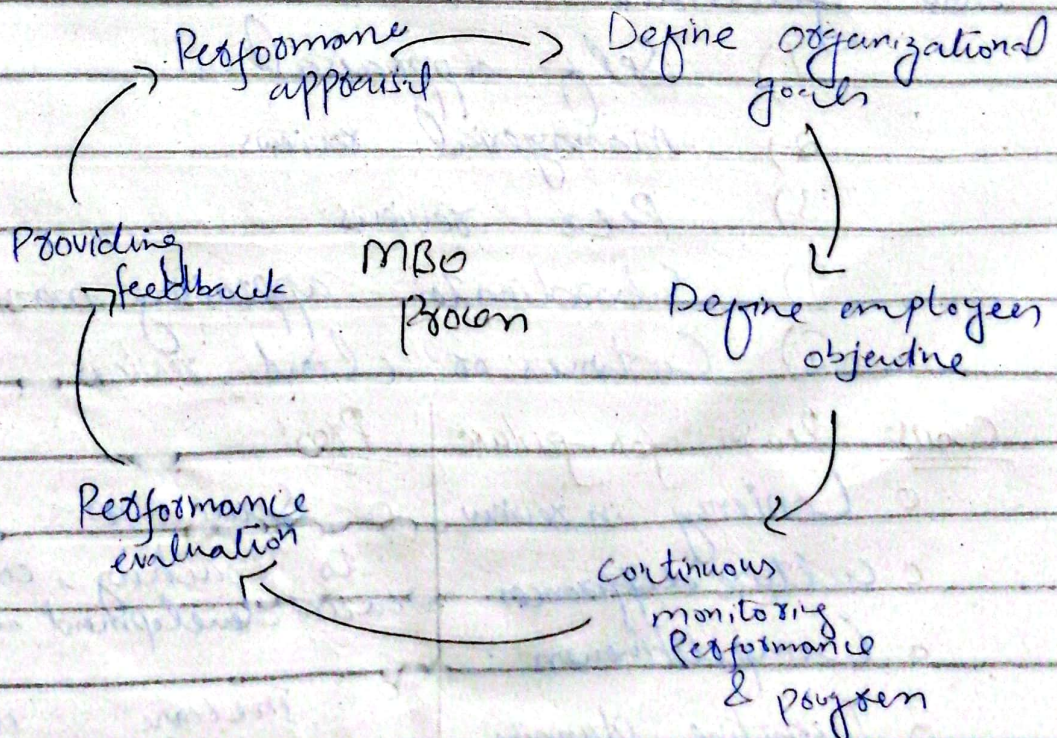
⇒ Identify employee training & development need

Modern method of performance appraisal

- 1) MBO
- 2) BARS
- 3) 360°
- 4) 720°
- 5) Assessment centers
- 6) Psychological association
- 7) OKR method
- 8) Counting method

1) MBO :-

⇒ Process of MBO as follows:



Prose

- o Measuring the quantitative and qualitative output of senior management like managers, directors, and executive.

Conse

- o Incomplete MBO program
- o Inadequate corporate objective
- o Lack of top management involvement

2) 360° feedback

=> Multi-dimensional performance appraisal method

=> Five integral components of 360° feedback.

- 1) Self-appraisal
- 2) managerial reviews
- 3) Peer reviews
- 4) Subordinates appraising manager
- 5) Customers or client reviews

Cons: Reason for failure

- o Leniency in review
- o Culture differences
- o Competitiveness
- o Ineffective planning

Pos:

- o Serve as key to coaching, counselling, career development activities
- o Increase the individual awareness

Ideal for:

- o To Private sector organizations than public sector organisations

4) Assessment centre method:

=> In 1930 by German Army

=> Stages in a typical assessment centre appraisal:

- o Pre-assessment
- o During assessment
- o Post assessment

Ideal for:

- o Manufacturing organizations
- o Service-based companies etc.

Pos:

- o Enhance participant knowledge

Cons:

- o Not suitable for large no. of employees.

5) BARS:

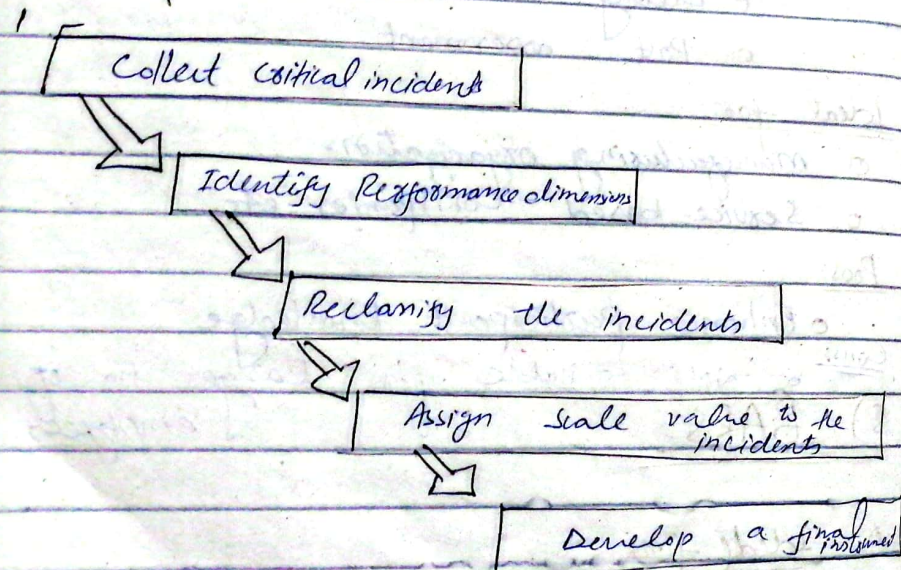
Ideal for:

- o Businesses of all sizes and industries can use

Common drawbacks:

- o Time consuming
- o High chance of subjectivity in evaluations
- o Hard to make compensation & promotion decisions.
- Pros:
- o Easy to use
- o based on behavior
- o impartial

Steps



6) OKR method:

=> Stands for Objectives and Key results.

=> it is a performance management framework designed to encourage Companies to set, communicate and monitor broad organizational goals & results.

7) Cost accounting method:

=> Performance of an employee is analysed through monetary benefits she/he yields to the company.

=> it is obtained by comparing the cost of retaining an employee and the monetary benefits an organization has ascertained from that specific employee.

Cons:

=> Highly dependent on the cost and benefit analysis.

=> Memory power of the reviewer

Pros:

- o More flexible
- o Adaptability

Ideal for:

- o Startups & small businesses where the performance of an employee can make break the organization success.

Performance appraisal Process:-

⇒ A performance appraisal is a systematic process of assessing the performance and progress of an employee on a given job and his potential for future development.

1) Setting Performance Standards:

- ⇒ The first step in this process is to set the performance standards means what ^m expect from your employees.
- ⇒ what actually wants the boss from his employees.
- ⇒ on what basis you will judge the performance of employees or appraise the performance.
- ⇒ After setting the criteria makes sure that the criteria or standard that you have set should be easily understandable and clear.

Definition -

- o Performance Standards define the expected levels of employee performance.
- o Performance Standards define what satisfactory job performance is.
- o Well designed standards ensure that everyone involved knows the level of accomplishment expected.

2) Communication Standards:

- ⇒ Once you have set the standards then these standards should be communicate to the employee.
- ⇒ So, in second step set standards are communicate to the employees.
- ⇒ So, that employees should be aware from what actually they employees want from them.

3) Measuring Standards:

- ⇒ In this step, different tools or method should be used for measuring the performance.
- ⇒ These tools or methods should be accurate.
- ⇒ How much internal or external influence on the job of employee.
- ⇒ These are different methods used for performance appraisal:
 - o BARS
 - o MBO
 - o Forced distribution
 - o Graphical Scale
 - o Check list

4) Comparing Standards:

=> when you compare employee performance with actual set standards that is called Comparing Standards.

=> It has two perspectives:

- o +ive

- o -ive

=> Performance of employee ^{may or} may not be according to the set standards.

=> you can evaluate the performance of employee with good, bad or average.

=> This Comparison tells the deviation in the performance of employees from set standards.

5) Discussing Results:-

=> In this step, the results of employee performance and actual set standards discuss with employees.

=> The purpose of this discussion ^{on one to one basis} is to tell the employees whether their performance was bad, excellent or average.

6) Taking Corrective Standards:

- o if the performance is bad:-

- And you think that the performance do be correctable then you can improve their performance through different techniques:

- o Coaching

- o Advise

- o Counseling

- o Seminar

- o This can be done if actually the employees want.

Performance Appraisal Methods

There are two types
of methods:

- Traditional
- Modern

1. Ranking method:

- o it is the simplest and oldest method in which employee is ranked against the others in the working group under this method.
- o Employees are ranked from the highest to the lowest or from Best to the worst.

Pros:

- Each employee be compared with others person.
- Useful in small organization.

Cons:

- Cannot be used for big organization.
- it lacks objectivity.

2. Paired Comparison

- o Has been developed to be used in a big organization.
- o Each employee is compared with all the others in pairs to judge who is preferable for the job.

Pros

- Useful for big organization.
- Individual traits are evaluated.

Cons: simple process

- o Difficult to understand.
- o Time consuming.

3. Force distribution method:

- o A method which forces the rater to distribute the rating of the overall performance of an employee as known as force distribution method.

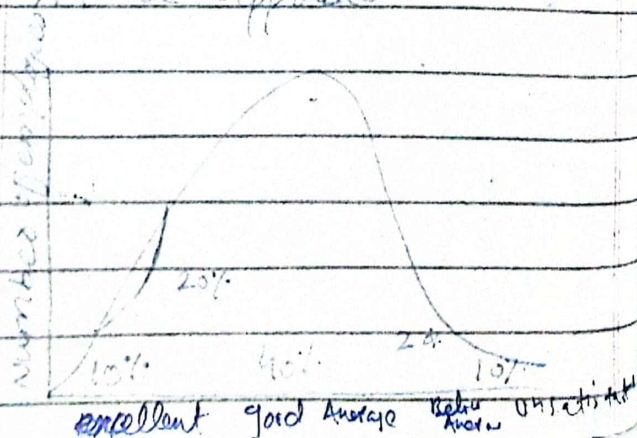
- o Individual traits could not be appraised under this method.

Pros:

- o Suitable for large organisations.

Cons:

- o Eliminates favoritism.
- o Individual traits could not be appraised.



4. Grading method:

- Certain categories of abilities or performance of employees are defined well in advance to fall in certain grades under this method.

Such grades are:

- o very good
- o good
- o average
- o Poor
- o very poor

- Here the individual traits and characteristics are identified.

e.g. Applied during semester pattern of examinations.

5. Checklist method:

The appraisal of the ability of an employee through getting answers for a number of questions is called checklist.

burden of the evaluator.

These questions are related to the behaviour of an employee.

The questions can be given as multiple choice.

→ Is the employee satisfied with the job?

→ Does he finish the job accurately?

→ Does he respect the supervisor?

→ Is he ready to accept responsibilities?

→ Does he obey the orders?

Cons:

- Take lot of money.
- Time consuming and costly.
- Inefficient in case of large no. of job categories.

Pros:

- Very simple and easy method.

6. Force choice method:

- 0 A series of groups of statements are prepared, positively or negatively under this method, both these statements describe the characteristics of employees but the rater is forced to tick any one of the statement either out of positive or out of negative statements.

7. Critical incident method:

- 0 The performance appraisal of an employee is done on the basis of the incident occurred recently to the concerned employee.

3-Steps involved:

an employee.

11. Confidential method:

- it involves collect information of employee's strength, weaknesses, intelligence, attitude, character, etc. This method is mainly used in govt department.

Modern Methods

i) MBO:

- o Management by objective
- o Employee and employer driven approach

A process of setting mutual agreed upon goals and using those goals to evaluate employee

Performance

This is a fair method of evaluating because the employee knows the odds that he is measured and include MBO process

BARS:

- Stands for Behaviorally Anchored rating scale.
- it is used to rate performance and to bring both qualitative and quantitative data of employees
- o it is the critical incident and rating scale method.
- o BARS is composed of scale ranging from 1 to 9 points

Assessment centres

- The techniques that are used to measure knowledge, skills and abilities.
- Different centres are established where participant will go and evaluated by trained evaluators using various techniques like simulation using interview and tests.
- Participant involve for 1 and 3 days.

Simulation techniques are:

- In basket exercise
- Leadership group discussion
- management games
- Fact finding exercise
- Individual presentation

Process:

- Assessors evaluate behavior and knowledge
- Prepare Report

- Predict future job performance
- it is used for large no of employees. permanent employee

360 degree appraisal

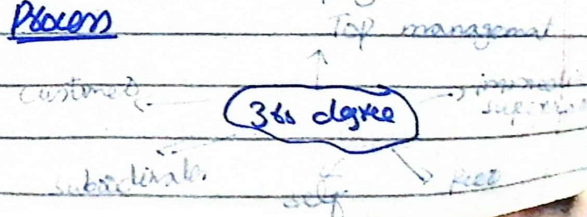
- In this method evaluate an employee using feedback collected from direct reports, peers, customers, subordinates and supervisors with whom he interact in the course of his job. Remarks are considered

example: Mobitel uses 360 degree appraisal to evaluate work performance of the employee.

Purpose:

Used for ascertaining training and development needs rather than to pay increase

Process



Psychological association:

- Psychologists are invited to the companies for the performance appraisal of the employees.
- Here the performance is in the context of the potential future performance.
- Psychological tests, in-depth interviews, reviews, and discussions with the managers are the methods used for the evaluation of the performance.

720-degree feedback:

- In line with the 360 degree feedback system, here the feedback is collected from the stakeholders within the company as well as the people linked from outside the organization.

- The customers, suppliers, investors, and other financial groups provide feedback about the performance of the employee.

Narrative Method or form (oldest method)

- ⇒ Requires a manager to write a statement about the employee's performance.
- ⇒ There is no actual standard form.

Ranking method

- ⇒ To evaluate employee performance from best to worst.

Pros:

- A large number of employees can be evaluated in a shorter period of time.